STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

At a session of the Public Service Commission held in the City of Albany on July 14, 2022

COMMISSIONERS PRESENT:

Rory M. Christian, Chair
Diane X. Burman, concurring
Tracey A. Edwards
John B. Howard
David J. Valesky
John B. Maggiore

CASE 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.

ORDER AUTHORIZING SURCHARGE RELATED TO THE SOUTHEAST SUFFOLK PHASE 1 PROJECT

(Issued and Effective July 14, 2022)

BY THE COMMISSION:

INTRODUCTION

On February 8, 2022, KeySpan Gas East Corporation d/b/a National Grid (KEDLI) submitted its "Southeast Suffolk Infrastructure – Phase 1 Long Term Capacity Project Report" in these proceedings. Consistent with the process set forth in the rate order issued in these proceedings,[1] the Commission

[1] Cases 19-G-0309 and 19-G-0310, Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements (issued August 12, 2021) (Rate Order), p. 122.

authorizes KEDLI to begin recovery of the carrying charges associated with the Southeast Suffolk Infrastructure Project – Phase 1 through the Demand Capacity Surcharge Mechanism effective August 1, 2022.

BACKGROUND

Capital Capacity Project Review Process

The Rate Order adopted the terms of the Joint Proposal filed on May 14, 2021, with modifications and established rate plans for KEDLI and its affiliate, The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) (collectively, National Grid or the Companies). Among other things, the Joint Proposal set forth a process for additional review of certain identified Long-Term Capital Capacity Projects (Capacity Projects), including the Southeast Suffolk Infrastructure Project, Phases 1 and 2. In this Order, the term "SE Suffolk Project" is used to refer to the Southeast Suffolk Infrastructure Project – Phase 1.

The Rate Order provided that the Companies could seek recovery of the revenue requirement associated with the Capacity Projects, including the SE Suffolk Project, through the Demand Capacity Surcharge Mechanism (DCSM).[2] The Companies can recover the costs of Capacity Projects if the Commission finds that reasonably forecast peak customer demand requires the implementation of the project to meet that demand and alternatives that could sufficiently meet, reduce, or eliminate the demand cannot reasonably be expected to be available and operational in the timeframes necessary for a lower all-in cost.[3]

The Rate Order, in adopting this process, noted that "the Joint Proposal provides for additional process steps to

[2] Rate Order, Attachment 1 (Joint Proposal), p. 42.

[3] Rate Order, Attachment 1 (Joint Proposal), p. 45.

confirm the desirability for pursuing these projects, not a process that supplants Commission review, which we are providing in this Order here."[4] Further, the Rate Order explained that "[w]e find that these provisions of the Joint Proposal are reasonably calculated to address future capacity needs and PSL §65(1)'s mandate that the Companies provide safe and adequate service at just and reasonable rates will be met."[5]

The process begins with one or both of the Companies making an initial filing for a particular project. Stakeholders can then comment on the project within 30 days of the Companies' initial filing. Additionally, the Companies are required to hold at least one stakeholder meeting to hear community feedback during the 30-day comment period.[6] Stakeholders also have the opportunity to submit comments within 60 days of the publication of a notice of proposed rulemaking in the State Register.

Within 45 days of the initial filing, an independent consultant selected by Staff of the Department of Public Service (Staff) is required to provide an engineering assessment of the need for the project.[7] Staff selected PA Consulting Group, Inc. (PA Consulting) to conduct the engineering assessments of the Capacity Projects.[8]

The Rate Order requires that the independent consultant consider the following in making its engineering assessment of a specific project: (1) the Companies' need for the specific project to meet a reasonable forecast of customers'

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[4] Rate Order, p. 121.

[5] Rate Order, p. 122.

[6] Rate Order, Attachment 1 (Joint Proposal), p. 44.

[7] Rate Order, Attachment 1 (Joint Proposal), p. 44.

[8] 19-G-0309 and 19-G-0310, Cover Letter and Independent Consultant Agreement – Capacity Projects (filed November 12, 2021).

peak demand, based on the Companies' most recent forecast available; (2) any safety and/or reliability benefits from the project; (3) viable alternatives to the project that would ensure reliable service in the applicable timeframe; (4) the all-in cost of the project and a comparison of the all-in cost of viable alternatives; the greenhouse gas (GHG) emissions attributable to the project and any viable alternatives; and (5) comments and analysis submitted by intervening parties and the public.[9] The Joint Proposal provided that the review process would conclude with the independent consultant's report finding that the Capacity Project either was or was not needed.[10] However, the Rate Order provided that, within 60 days of the filing of the independent consultant's report, the Commission would determine whether or not the Companies could recover the costs of the Capacity Project through the DCSM.[11]

Further, the Rate Order conditions cost recovery on the Companies' meeting Capacity Demand Metrics related to achieving energy efficiency targets, securing at least minimum enrollments in demand response programs, issuing requests for proposals for non-pipe alternatives (NPAs), making at least a minimum number of referrals of prospective gas customers to the applicable electric utility for electrification, and identifying segments of leak-prone pipe that could be abandoned through NPAs. The Rate Order provides targets (or a methodology for calculating targets) for each Capacity Demand Metric and provides that, if the Companies fail to meet all of the metrics,

[9] Rate Order, Attachment 1 (Joint Proposal), p. 45.

[10] Rate Order, Attachment 1 (Joint Proposal), p. 47.

[11] Rate Order, pp. 122, 225.

then they would forgo all or a portion of the revenue requirements associated with the Capacity Projects.[12]

Climate Leadership and Community Protection Act

The Climate Leadership and Community Protection Act (CLCPA) went into effect on January 1, 2020. Amongst its provisions, §7(2) requires that state agencies shall consider whether decisions, including "issuing permits, licenses, and other administrative approvals and decisions… are inconsistent with or will interfere with the attainment of the statewide greenhouse gas emissions limits established in article 75 of the environmental conservation law." Further, §7(2) requires that "[w]here such decisions are deemed to be inconsistent with or will interfere with the attainment of statewide greenhouse gas emissions limits, each agency … shall provide a detailed statement of justification as to why such limits/criteria may not be met and identify alternatives or greenhouse gas mitigation measures to be required where such project is located." Additionally, §7(3) requires that, in considering administrative approvals and decisions, state agencies "shall not disproportionately burden disadvantaged communities as identified pursuant to subdivision 5 of section 75-0101 of the environmental conservation law."

Description of the SE Suffolk Project

The Southeast Suffolk Project consists of an approximately 1.6-mile-long transmission main with a regulator station and associated distribution facilities to serve customers on eastern Long Island. The 350 pounds per square inch gauge (psig) transmission main runs on County Road 104 from

[12] Rate Order, Attachment 1 (Joint Proposal), pp. 47-52.

Cross River Drive to Old Riverhead Road. At that intersection, the Company installed a regulator station to drop the pressure from 350 psig to 124 psig. From there KEDLI installed approximately 6,100 feet of 124 psig distribution main along Old Riverhead Road, tying into the exiting 124 psig distribution main across Sunrise Highway. KEDLI began construction in October 2020. It completed installation of the gas mains and placed them into service in September 2021. KEDLI has also completed the associated regulator station and placed it into service in February 2022.

Report of the Independent Consultant

On March 25, 2022, PA Consulting filed its Assessment Report (PA Report) of the SE Suffolk Project. Pursuant to the Joint Proposal adopted by the Rate Order, PA Consulting was charged with addressing the following: (1) need for the project to meet a reasonable forecast of customers' peak demand, based on the most recent forecast available; (2) any safety and/or reliability benefits from the project; (3) viable alternatives to the project that would ensure reliable service; (4) all-in cost of the project and a comparison of the all-in cost of viable alternatives; (5) GHG emissions attributable to the project and any viable alternatives; and (6) any comments and analysis submitted by intervening parties and the public.

The PA Report concluded that the SE Suffolk Project is a reliability driven project and that, without it, maintaining adequate distribution system pressures downstream on a Design Day is at risk. The PA Report continued that, if the SE Suffolk Project is not in-service by the winter 2022/2023, widespread design day outages in East Hampton and Amagansett are possible. The PA Report explains that the SE Suffolk reinforces, and results in incremental capacity within, KEDLI's distribution

system. However, the SE Suffolk Project does not change the overall level of available supply in the Nassau-Suffolk County region.

The PA Report considered other potential infrastructure and non-infrastructure solutions and concluded that they are more expensive and/or are not realistic due to a combination of timing, permitting and/or construction related challenges. With regard to non-infrastructure alternatives, the PA Report states that they are still maturing, and cannot be phased in quickly enough to address reliability challenges. However, the PA Report recognizes that, given New York's climate goals, non-infrastructure solutions must be considered more thoroughly as alternatives to future traditional capital projects. Based on PA Consulting's assessment of customer and demand growth, the PA Report states that non-infrastructure alternatives may help avoid future infrastructure expansion.

Although the PA Report concluded that the SE Suffolk Project is necessary to meet a reasonable forecast of peak demand in the near-term, it also explained that KEDLI's demand forecast was aggressive. PA Consulting explained that expected lower population/demographic and building trends across Nassau and Suffolk counties, more specifically South Fork towns, are likely to reduce forecast demand from levels used by KEDLI for the supply-side/engineering analysis. PA Consulting's projection of Housing Stock implies Design Day demand could be one percent lower by 2035. If Commercial meter growth is similarly adjusted, it could also decrease another one percent. However, reductions in expected demand are not expected to offset pressure/service reliability challenges in the near term.

The PA Report also noted that, as urged by intervenors, the Company should submit a more detailed quantitative GHG emissions analysis for future infrastructure

projects. Finally, the PA Report stated that the Company could have been more effective in communicating the nature of and the justification for the SE Suffolk Project.

NOTICE OF PROPOSED RULE MAKING

Pursuant to the State Administrative Procedure Act (SAPA) §202(1), a Notice of Proposed Rulemaking was published in the State Register on March 2, 2022 [SAPA No. 19-G-0310SP2]. The time for submission of comments pursuant to the Notice expired on May 2, 2022. The comments received are addressed below.

COMMENTS

30-Day Comments

In its comments, the Environmental Defense Fund (EDF) states that National Grid did not provide all of the information required of it in its initial filing for the SE Suffolk Project. Specifically, EDF explains that National Grid did not provide the quantitative assessment of GHG emissions attributable to the SE Suffolk Project. EDF also states that National Grid's initial filing is inconsistent in stating that the SE Suffolk Project is needed for reliability and does not increase the gas supply on the system, while also stating that it allows the Company to serve increasing customer demand and avoid restricting firm service requests. Additionally, EDF comments that National Grid did not provide all of the required information for the "All-In Cost" calculations. Continuing, EDF maintains that National Grid's initial filing does not provide sufficient discussion of demand side management alternatives to the SE Suffolk Project.

In their joint comments, the Alliance for a Green Economy and Sane Energy Project (AGREE/SEP) that customers'

bills are already unaffordable and that National Grid failed to demonstrate the need for the SE Suffolk Project. Additionally, AGREE/SEP comment that National Grid did not effectively pursue potential NPAs, including demand response and geothermal options, even though such alternatives have been recognized by National Grid itself and other gas utilities for a number of years. AGREE/SEP also assert that the SE Suffolk Project, will increase GHG emissions because it will allow KEDLI to attach additional customers to its distribution downstream from the SE Suffolk Project. Moreover, state AGREE/SEP, National Grid failed to consider the impact of the SE Suffolk Project on disadvantaged communities. AGREE/SEP aver that the project is approximately 3,100 feet from the Riverwood Mobile Home Community and Philp Avenue School, and less than 2,000 feet from Ludham Park. AGREE/SEP assert that National Grid chose the ultimate route for the SE Suffolk Project over alternative routes in wealthier areas.

In a joint letter dated March 7, 2022, seven Assemblymembers and one State Senator expressed their opposition to a rate increase attributed to the SE Suffolk Project and urged the Commission to consider the negative environmental impact of continuing to extend the life of the gas line. In Case 19-G-0310, regarding KEDLI, approximately 470 comments were received from members of the public. In addition, in Case 19-G-0309, regarding KEDNY, approximately 470 comments were received from members of the public. Not all commenters are residents of the KEDLI service territory, and some commenters filed identical comments in both Cases 19-G-0309 and 19-G-0310. Additionally, some comments appeared to refer to a pipeline other than the SE Suffolk Project. The comments are generally opposed to the SE Suffolk Project. Commenters raised the following issues: they were opposed to further increases in utility bills; they

asserted that the SE Suffolk Project contravenes the CLCPA; they asserted that National Grid did not assess the impact on disadvantaged communities; they assert that National Grid did not look into non-gas alternatives; they assert that the SE Suffolk Project is unnecessary and will soon become a stranded asset; they opposed the use of fossil fuels in general.

KEDLI Reply Comments

KEDLI filed comments in response to the PA Report, stating that the PA Report presents a fair assessment of the SE Suffolk Project. KEDLI explained that it does not agree with all of the findings and conclusions in the PA Report, but values PA Consulting's insights and feedback, and will look to incorporate the recommendations in the interest of constant improvement. KEDLI addressed the PA Report's discussion of KEDLI's demand forecast, particularly the market data underlying the forecast including the rate of growth anticipated from new housing construction on Long Island. KEDLI explained that it uses data from Moody's Analytics and routinely discusses that data with Moody's and challenges Moody's assumptions. KEDLI states that it has been incorporating local data to give nuance to its forecasts and has adopted scenario-based forecasts instead of a single point forecast, as recommended by PA Consulting.

KEDLI stated that the Rate Order includes various programs to eliminate methane leaks as well as commitments that the infrastructure investments proposed in the next rate filing will include information on historical and current GHG emissions and an assessment of the emissions associated with specific projects. These commitments will enable more analysis of the emissions impacts of proposed investments in future rate proceedings, according to KEDLI. Regarding public engagement, KEDLI explained that it followed the notification and meeting

requirements of the Rate Order but agrees there are opportunities to improve the meetings and public outreach around this process and commits to deploying alternate platforms for conducting virtual meetings and carry forward the other feedback and lessons learned to enhance the stakeholder experience in future instances.

AGREE/SEP May 2022 Comments

On May 10, 2022, AGREE/SEP filed additional comments regarding the PA Report. AGREE/SEP allege that PA Consulting is not "independent" of National Grid.[13] Additionally, AGREE/SEP comment that the PA Report does not sufficiently assess the GHG emissions of the SE Suffolk Project or viable non-gas alternatives to the SE Suffolk Project. Finally, AGREE/SEP assert that National Grid chose to pursue the SE Suffolk Project "after rejecting other routes based on the inconvenience or environmental impact for wealthier communities."[14]

LEGAL AUTHORITY

Public Service Law §§5, 65, and 66 provide the Commission with general authority over gas corporations and the responsibility to ensure that gas corporations provide safe and adequate service at just and reasonable rates.

DISCUSSION AND CONCLUSION

Selection of PA Consulting as the Independent Consultant

The Rate Order provides that "the independent consultant(s) shall be nationally or regionally recognized individual(s) or firm(s) in the area of gas engineering and

[13] Cases 19-G-0309 & 19-G-0310, AGREE/SEP Comments (filed May 10, 2022), p. 2.

[14] Cases 19-G-0309 & 19-G-0310, AGREE/SEP Comments (filed May 10, 2022), p. 5.

possess the requisite experience in planning and constructing natural gas distribution infrastructure so as to be qualified as an expert to analyze the need for the Companies' Capacity Projects."[15] Additionally, the Rate Order notes that the consultant is required to have expertise in quantifying and evaluating GHG emissions from infrastructure projects.[16]

PA Consulting is a large and well-known consulting firm with clients across the United States and the globe. PA Consulting has experts in natural gas, power, and renewable markets who are familiar with the associated policy, regulatory and emerging energy technology uncertainty. PA Consulting has an advanced energy analytics enterprise and experience forecasting aspects of New York's energy economy, including natural gas supply and prices, energy efficiency impacts and load curves. PA Consulting also has experience forecasting project market and asset specific emissions and emissions prices reflecting current federal and regional emission policy. Further, PA Consulting has participated for several years in energy analysis conducted by the New York State Energy Research and Development Authority.[17] The PA Consulting team that worked on reviewing the SE Suffolk Project also regularly develops customer connection and load forecasts based on macro-economic forecasts, technology evolution, climate change and related policy developments, among other factors. PA Consulting's supply and demand forecasting covers the implications for both infrastructure and non-infrastructure deployments and have found

[15] Rate Order, Attachment 1 (Joint Proposal), p. 44.

[16] Rate Order, p. 115.

[17] See "Annual Procurement Contracts Report – March 31, 2021" and "Annual Procurement Contracts Report – March 31, 2022," accessible from the NYSERDA website at: https://www.nyserda.ny.gov/about/publications/nyserda-annual-reports-and-financial-statements.

energy efficiency to be an important and growing aspect of the supply mix. Thus, PA Consulting is qualified to perform the engineering assessments of the Capacity Projects required by the Rate Order.

With regard to the claims of AGREE/SEP that PA Consulting is not independent of National Grid, such claim is unfounded. AGREE/SEP stated that PA Consulting "has a history of giving awards to the Company and having the Company as [a] guest on their podcast."[18]

First, with regard to PA Consulting's purported "history of giving awards to the Company" AGREE/SEP point to a newsroom item on National Grid's website.[19] The link provided by AGREE/SEP, identifies a single award that PA Consulting did provide to a National Grid affiliate, the "2021 ReliabilityOne® Award for outstanding Reliability Performance in the Northeast Region Suburban/Rural service area." This award was not given to KEDLI or KEDNY, nor does it relate to any National Grid affiliate's gas operations. Instead, PA Consulting provided this award to Niagara Mohawk Power Corporation d/b/a National Grid (NMPC) for its electric reliability performance in its upstate service territory. From PA Consulting's website, the ReliabilityOne® awards "recognize electric utilities for providing customers with the highest levels of reliability performance in the industry."[20] The award is based on "publicly available information on the System Average Interruption Duration Index (SAIDI), which provides the average outage

[18] Cases 19-G-0309 & 19-G-0310, AGREE/SEP Comments (filed May 10, 2022), p. 2.

[19] https://www.nationalgridus.com/News/National-Grid-Recipient-of-2021-ReliabilityOne-174-Award-for-Outstanding-Suburban-and-Rural-Service-Area-Utility-in-Northeast-Region/

[20] https://www.paconsulting.com/events/2021/reliabilityone-2021/

duration per customer, and System Average Interruption Frequency Index (SAIFI), which measures the average number of interruptions per customer."[21] Thus, having provided the ReliabilityOne® award to NMPC does not demonstrate any bias on behalf of PA Consulting toward National Grid generally, nor KEDLI specifically.

Second, with regard to the claim that PA Consulting "having the Company as [a] guest on their podcast," AGREE/SEP provide a link to PA Consulting's website.[22] From the link provided by AGREE/SEP, a podcast hosted by Jared Smith of PA Consulting did interview a single National Grid employee "about the challenges and opportunities associated with the development of utility microgrids." This podcast from over five years ago discussed NMPC's experience with an electric microgrid demonstration project in Potsdam, New York and other microgrid issues in NMPC's electric service territory. It is unreasonable to infer any sort of bias solely because an employee at PA Consulting interviewed an employee of National Grid on a single podcast at some point in the past about an emerging electric utility issue with which that National Grid employee has expertise.

Additionally, PA Consulting has confirmed that the none of the staff working on the PA Report were involved in either the ReliabilityOne® award nor the podcast. It is not reasonable to conclude from the information provided by AGREE/SEP that PA Consulting's review of the SE Suffolk Project was not independent or that PA Consulting in any way favors

[21] https://www.paconsulting.com/newsroom/releases/florida-power-light-company-and-san-diego-gas-electric-both-win-a-reliabilityone-national-reliability-award-18-november-2021/

[22] https://www.paconsulting.com/insights/utilities-experts-discuss-microgrid-development-podcast/

National Grid, generally, nor KEDLI specifically. Finally, we take this opportunity to note that parties and commenters in proceedings before the Commission are expected to be respectful of others in their submissions and interactions. To advance the public interest, submissions should be based on substantive evidence.

Need for the SE Suffolk Project

As noted in the PA Report, the SE Suffolk Project was originally conceived based on load forecasts developed for the 2016 rate proceeding[23] to address potential reliability concerns of demands placed on the gas system for both existing and future customers in the eastern portion of the Long Island service area. In 2018, the Company selected the SE Suffolk Project as the best available option to address reliability system requirements by winter 2022/2023. Prior to the final selection of SE Suffolk Project, KEDLI considered alternative routes but rejected them as they would have been more costly, if even feasible, without the additional benefits the SE Suffolk Project provided to address operating conditions and maintaining safe and reliable gas service for customers. The PA Report concurred with the Company's rationale for selection of the SE Suffolk Project.

PA Consulting's analysis confirmed that the forecast of peak design day demand indicates that there is a risk of widespread design day outages for the winter of 2022/2023 in the areas downstream of the SE Suffolk Project, if SE Suffolk Project had not been built. A core concern here for our determination is that the PA Report's engineering assessment highlighted that the gas system downstream of the SE Suffolk Project was already experiencing difficulty maintaining minimum

[23] Cases 16-G-0058 and 16-G-0059, KEDNY and KEDLI – Gas Rates.

design pressure levels due to growing demand in the area. While the PA Report confirmed the forecast of peak demand demonstrated a need for action, it did explain that KEDLI's long-term demand forecasts were aggressive. The PA Report concluded that the critique of KEDLI's forecasting is relevant for considering future projects. We concur that even if there was a slight reduction in demand for the 2022/2023 winter heating season the SE Suffolk Project would still be needed to serve anticipated customer demand on design day.

With regard to alternatives to the SE Suffolk Project, the PA Report reviews alternative routes for pipe solutions, as well as NPAs such as reliance on compressed natural gas (CNG) and demand management, including demand response and electrification. With regard to alternative pipeline routes, the PA Report contains a map on page 21 showing the various alternatives. As explained in both KEDLI's initial filing and by the PA Report, KEDLI originally intended to loop its existing pipe on Flanders Road, however the New York State Department of Transportation restricted KEDLI's ability to construct on this route. The pipeline alternatives to Flanders Road all followed the route of the SE Suffolk Project along County Road 104 to the intersection with Old Riverhead Road. Compared to the other routes, the SE Suffolk Project involved the installation of less pipe at significantly less cost.[24] Thus, the PA Report concluded that the SE Suffolk Project was the best pipeline option for meeting the demonstrated reliability need.

Ultimately, the PA Report concluded that with the risks to service reliability on customers for the upcoming 2022/2023 winter heating season, there were no other viable alternatives to this project given the time frame. The PA

[24] PA Report, p. 22.

Report explained that relying on compressed natural gas would have had greater risks related to actually delivering CNG supply on a design day and would have resulted in increased emissions from delivery vehicles. Additionally, while the capital costs related to the CNG option were comparable to those of the SE Suffolk Project, the operations and maintenance costs of the CNG option made it significantly more expense than the SE Suffolk Project.

With regard to relying on demand-side management, through incremental energy efficiency, demand response, and electrification, the PA Report found that they were not viable "because they could not be implemented in time to meet forecasted demand."[25] The PA Report reviewed KEDLI's estimates of technical and market potential estimates of incremental design day relief and confirmed that even if the maximum available relief were achieved, it would be insufficient to have offset the need for the SE Suffolk Project in the near term. The PA Report did note that National Grid is continuing to ramp up its demand-side management programs and that it should utilize a more systematic process for comparing both supply and demand relief and costs.

The PA Report's conclusions are consistent with the discussion of gas demand response in the recent order in Case 22-M-0149.[26] The CLCPA Order explained that, while electric demand response programs have experienced steady growth, the "suite of gas [demand response] programs is in its relative

[25] PA Report, p. 24.

[26] Case 22-M-0149, In the Matter of Assessing Implementation of and Compliance with the Requirements and Targets of the Climate Leadership and Community Protection Act, Order on Implementation of the Climate Leadership and Community Protection Act (issued May 12, 2022) (CLCPA Order).

infancy."[27] The CLCPA Order noted that National Grid is at the forefront of gas demand response, and yet has had recent difficulties in enrolling additional gas load relief. Further the CLCPA Order noted the modest development of NPA projects to date.[28] While we anticipate that demand response and other demand-side management programs will provide cost-effective benefits, their development will take time. Thus, in the near term, they may continue to be beneficial, but cannot yet necessarily be a viable stand-alone alternative to a pressing reliability.

In the case of the SE Suffolk Project, it is apparent that there were not viable alternatives to the SE Suffolk Project. Although commenters, including EDF and AGREE/SEP expressed concern that KEDLI did not adequately describe or compare alternatives, the PA Report did explore what alternatives could have been pursued in this case. The record shows that KEDLI and PA collectively examined a number of pipeline options, of which the SE Suffolk Project was the shortest and least expensive. While KEDLI could have pursued a CNG option, that option would have been less reliable, involved increased GHG emissions, and been more costly in comparison to the SE Suffolk Project. Finally, while we expect demand-side management alternatives to play a larger role in the future, the record supports the conclusion that these alternatives simply lack the market penetration to offset the near term need for the SE Suffolk Project. Accordingly, we concur with the findings of the PA Report that the SE Suffolk Project is necessary to meet reliability needs for KEDLI's customers.

[27] CLCPA Order, p. 34.

[28] CLCPA Order, p. 41.

Capacity Demand Metrics

The Rate Order conditions cost recovery of the revenue requirement associated with the Capacity Projects, including the SE Suffolk Project, through the DCSM on National Grid's meeting capacity demand metrics. The capacity demand metrics are designed to demonstrate that the Companies are actively pursuing non-infrastructure demand-side solutions like energy efficiency, demand response, and electrification to avoid or defer additional gas supply infrastructure.

According to the Companies' most recent Capacity Demand Metric Report filed on April 28, 2022,[29] both Companies have met or exceeded the annual targets for all five capacity demand metrics in Rate Year 2 by implementing a portfolio of non-infrastructure solutions comprising energy efficiency, demand response, non-pipe third-party solutions, electrification, and leak-prone pipe NPAs. KEDLI is therefore eligible to recover the full amount of the revenue requirement associated with the SE Suffolk Project at this time.

Surcharge

The Rate Order provides for the recovery of the carrying costs associated with the Capacity Projects, including the SE Suffolk Project through the DCSM.[30] The Joint Proposal adopted by the Rate Order states that the Companies are required to file the DCSM statement to become effective on July 1 of each year to effectuate any cost recoveries. To allow for the timely recovery of these costs, we waive this requirement and direct KEDLI to file the updated DCSM Statement, effective August 1, 2022, through June 30, 2023, to reflect the costs associated

[29] Cases 19-G-0309 and 19-G-0310, Rate Year 2 and First Quarter 2022 Capacity Demand Metric Report (filed April 28, 2022).

[30] The carrying costs include return on the rate base associated with the capital investments and depreciation expense.

with the SE Southeast Suffolk Project. The Company shall file, on no less than five days' notice, the DCSM statement and the associated workpapers used to calculate the carrying costs and surcharge rate. The DCSM surcharge shall reflect the carrying costs deferred for the 12 months ended March 31, 2022, as well as the estimated carrying costs for the twelve months ending March 31, 2023.

The Commission notes the comments expressing concern with the impact of cost recovery on ratepayers. We recognize that authorizing KEDLI to recover the carrying costs associated with the SE Suffolk Project will have a monthly bill impact of approximately $0.32 on an average KEDLI residential customer using 102 therms monthly. However, it is not a choice between the costs of the SE Suffolk Project or zero additional costs, which this bill impact represents. Instead, there was a design day risk for winter 2022/2023 in the area downstream of the SE Suffolk Project. KEDLI has addressed that risk with the SE Suffolk Project. However, absent the SE Suffolk Project, KEDLI would have had to take other measures to address the risk. Those measures would not have been cost free. As discussed above, demand-side management alone was not a viable alternative solution to the identified need. Had KEDLI pursued a CNG option or an alternative pipeline option, the costs of those options would have been higher than the costs of the SE Suffolk Project. Thus, the SE Suffolk Project requires the recovery of less costs from customers than the other viable alternatives that KEDLI would have been required to pursue in the absence of the SE Suffolk Project.

CLCPA Analysis

In the Rate Order, the Commission found that CLCPA §7(2) and (3) apply to Commission orders in rate cases.

Further, the Commission found that its adoption of the Joint Proposal in total, including the treatment of the Capacity Projects, is "fully consistent with CLCPA §7(2) and (3)."[31] The Rate Order noted that "[o]ur CLCPA review is not performed in a vacuum. Instead, the evaluation under CLCPA §7(2) and (3) is made in the context of the Commission's core responsibility to ensure that '[e]very gas corporation, every electric corporation and every municipality … furnish[es] and provide[s] such service, instrumentalities and facilities as shall be safe and adequate and in all respects just and reasonable.'"[32] As we further explained in the Rate Order, "[u]ntil technologies advance to a point where natural gas is no longer needed for heat and hot water, the Commission must ensure the reliability of gas delivery systems throughout the State."[33]

CLCPA §7(2) provides that the Commission consider whether an administrative approval or decision is "inconsistent with or will interfere with the attainment of the statewide greenhouse gas emissions limits" established in the CLCPA. In this Order the Commission only addresses cost recovery for the SE Suffolk Project. We find that authorizing cost recovery for the SE Suffolk Project is not inconsistent with, nor will it interfere with attaining the state's GHG emissions limits. The newly installed pipe is not prone to leaks and should not result in significant methane emissions.

Commenters assert that the SE Suffolk Project will enable KEDLI to meet growing customer demand, i.e., serve additional customers. It is accurate that, with the SE Suffolk Project in place, KEDLI will be able to continue to serve

[31] Rate Order, p. 71.

[32] Rate Order, p. 73, citing PSL §65(1).

[33] Rate Order, p. 74.

applicants who request new service downstream of the project. However, at this time customers are not expected to attach directly to the SE Suffolk Project. More importantly, the record shows that the SE Suffolk Project will not allow KEDLI to increase supply on its overall system. Rather it only allows KEDLI to move gas on its system more efficiently to areas with lower pressure. In short, it is a reliability-based project that would not on its own result in increased GHG emissions.

The Commission's obligations under Section §7(2) of the CLCPA must be examined under the current state of the law. KEDLI is legally required to provide service to applicants requesting new gas service who are within 100 feet of KEDLI's distribution mains,[34] and neither the State nor Suffolk County Legislatures have adopted any prohibition on new gas connections. Additionally, the CLCPA itself contains no mandates with respect to the provision of gas service. Instead, the CLCPA mandates a process by which the Climate Action Council makes recommendations through a scoping plan to ensure the attainment of the statewide GHG emissions limits identified in the statute.[35] That process is ongoing. Against this backdrop is the Commission's core obligation to ensure "safe and adequate" service.[36] Again, under the existing statutory framework, the Commission finds that the SE Suffolk Project is not inconsistent with the attainment of the statewide greenhouse gas emissions limits.

AGREE/SEP assert that connecting new customers necessarily means increased GHG emissions. However, that assertion is not reflected by the record. It is simply not

[34] PSL §31(4); Transportation Corporations Law §12.

[35] ECL 75-0103(7).

[36] PSL §65(1).

accurate to suggest that all "new customers" are associated with new buildings. As noted in the PA Report, although oil-to-gas conversions have been slowing, such conversions represent most of the new gas customers downstream of the SE Suffolk Project and GHG emissions from gas are significantly lower per unit of heat than GHG emissions from heating fuels.[37] Thus, the SE Suffolk Project can in fact allow for reduced GHG emissions from customers taking service downstream from the SE Suffolk Project.

While we find that authorizing cost recovery for the SE Suffolk is not inconsistent with attaining the GHG emissions limits of the CLCPA, we also note that, as described above in this Order, even if inconsistent with attaining those limits, the SE Suffolk Project is necessary to ensure that KEDLI can continue to meet its legal obligations to provide safe, adequate, and reliable service. Moreover, the Rate Order already conditioned full recovery the carrying costs of the Capacity Projects, including the SE Suffolk Project, on meeting the Capacity Metrics.

Additionally, we note the recent enactment of the Utility Thermal Energy Network and Jobs Act, which amends the PSL to enable gas and electric corporations to own and operate thermal energy networks, such as shared geothermal loops. Further the Act created PSL §66-t, which requires that certain gas and electric corporations, including KEDLI and KEDNY submit up to five pilot thermal energy network projects. We expect that KEDLI and KEDNY will aggressively pursue such projects that cost-effectively contribute to reducing GHG emissions.

[37] PA Report, p. 15; U.S. Energy Information Administration, "Energy Carbon Dioxide Emissions Coefficients," found at https://www.eia.gov/environment/emissions/co2_vol_mass.php (heating oil produces almost 40% more carbon dioxide per unit of heat than gas).

CLCPA §7(3) provides that the Commission not disproportionately burden disadvantaged communities when issuing administrative approvals and other decisions. With regard to the SE Suffolk Project, this Commission did not have a role in siting the route. The Commission's decision here is limited to cost recovery for the SE Suffolk Project. With regard to the impacts of cost recovery on disadvantaged communities, the Commission has implemented a low income energy affordability program[38] and taken the steps to address customer arrears[39] in Cases 14-M-0565 and 20-M-0266.

Although the Commission's decision in this Order does not concern the siting of the SE Suffolk Project, we nevertheless find based on the record before us that the SE Suffolk Project does not have a disproportionate impact on disadvantaged communities. The CLCPA created Environmental Conservation Law §75-0101(5), which defines disadvantaged communities as "communities that bear burdens of negative public health effects, environmental pollution, impacts of climate change, and possess certain socioeconomic criteria, or comprise high-concentrations of low- and moderate-income households, as identified pursuant to section 75-0111 of [the Environmental Conservation Law (ECL)]."[40] As previously noted in the CLCPA

[38] Case 14-M-0565, Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low Income Utility Customers, Order Adopting Low Income Program Modifications and Directing Utility Filings (issued May 20, 2016).

[39] Cases 14-M-0565, et al., supra, Order Authorizing Phase 1 Arrears Reduction Program (issued June 16, 2022).

[40] ECL §75-0111 provides for a process through which a Climate Justice Working Group will establish specific criteria for identifying disadvantaged communities. On December 13, 2021, the Climate Justice Working Group released draft criteria and the 120-day public comment period began on March 2, 2022.

Order, the Climate Justice Working Group's draft "disadvantaged communities" criteria[41] is subject to a public comment period and final criteria have not yet been adopted.

When reviewing the map of disadvantaged communities based on the draft disadvantaged communities criteria, the area including both Flanders Road and County Route 104 on which the SE Suffolk Project is installed are within a disadvantaged community. Thus, whereas AGREE/SEP alleged that the SE Suffolk Project's route was chosen to avoid impacting non-disadvantaged communities, that is not the case. The available alternative routes from National Grid's existing facilities would not impact different communities. Indeed, the SE Suffolk Project appears to minimize impacts. As noted above, it is the shortest length of any of the alternative routes. Additionally, it travels through already disturbed land along County Route 104 and Old Riverhead Road. A review of satellite images available online show no significant development along the route. National Grid has explained that it conducted outreach with the two entities along the route prior to construction, a golf course and a hot dog vendor.

AGREE/SEP comment that the Riverwood Mobile Home Community and Phillip Avenue School are approximately 3,100 feet

[41] New York State's interim definition includes communities located within census block groups that both meet the US Housing and Urban Development 50 percent Adjusted Median Income threshold and are located within the Department of Environmental Conservation's Potential Environmental Justice Areas; or are located within New York State Opportunity Zones. The HUD 50 percent Adjusted Median Income threshold includes the top quartile of census block groups in New York, ranked by the percentage of Low-to-Moderate (LMI) Households in each census block. LMI households are defined as households with annual incomes at or below 50 percent of the Area Median Income of the County or Metro area where the Census Block Group resides.

from the start of the pipeline and Ludham Park is less than 2,000 feet away as well. The SE Suffolk Project connects to National Grid's pre-existing facilities at approximately the intersection of Quogue Riverhead Road and Cross River Drive and proceeds south from there. The locations identified by AGREE/SEP are north of the starting point of the SE Suffolk Project, thus the SE Suffolk Project did not involve construction in the direction of those locations. Additionally, as explained above, all pipeline options, other than the Flanders Road option, to address the reliability need in the area would have involved construction in this same location. AGREE/SEP's comment acknowledges that National Grid provided flyers to those with homes to the north of the SE Suffolk Project.[42]

The SE Suffolk Project appears to have been built in a manner that created the least impacts during construction through a route without significant development. As the pipe is installed below ground, there should be no significant impacts of it now that construction has concluded. The available alternatives would have potentially had greater impacts on the same communities. Accordingly, we find that the SE Suffolk Project does not disproportionately burden any disadvantaged communities.

Lessons Learned and Process Improvements

The SE Suffolk Project is the first of National Grid's Capacity Projects to be subjected to the heightened review process required by the 2021 Order. While this Order does allow KEDLI to begin recovery of the costs of the SE Suffolk Project through the DCSM, the Commission observes that National Grid can

[42] Cases 19-G-0309 and 19-G-0310, Comments of AGREE/SEP (filed March 10, 2022), p. 9.

provide more complete information in its initial filings for subsequent Capacity Projects. We recognize EDF's concerns regarding the information provided regarding the Capacity Project in question and alternatives, including GHG emissions and all-in cost data. The PA Report also acknowledged that National Grid should do a better job providing the specified information for subsequent Capacity Projects. However, at heart, the Rate Order requires that National Grid demonstrate that: "(i) reasonably forecast peak customer demand requires the implementation of the projects to meet that demand; and (ii) that alternatives that could meet that demand (or reduce or eliminate it) cannot reasonably be expected to be available and operational in the timeframes necessary for a lower 'All-In Cost.'"[43] With regard to the SE Suffolk Project, National Grid demonstrated, and PA Consulting confirmed, that the SE Suffolk project is necessary to meet a reasonable forecast of peak customer demand and that there were no other viable alternatives with a lower all-in cost. The Commission expects that, with regard to subsequent Capacity Projects National Grid will have thoroughly explored alternatives to the Capacity Project in question and will provide the information necessary to evaluate those alternatives. In addition, we address some lessons learned from the review of the SE Suffolk Project below.

1. Public Outreach and Engagement

As specified in the Rate Order, the review of the Capacity Projects includes certain public involvement requirements. If the Companies file a report regarding their intention to seek cost recovery for one or more project, there is a mandatory 30-day comment period for the public to submit

[43] Rate Order, Attachment 1 (Joint Proposal), p. 45.

comments on the report. During the comment period, the Companies are required to schedule at least one stakeholder meeting to solicit community input. In addition, the independent consultant is tasked with assessing comments and analysis submitted by intervening parties (commenters) and the public. Finally, after receiving the independent consultant's report and considering all comments received, the Commission will issue a final decision regarding recovery of a Capacity Project's costs through the DCSM.

For the SE Suffolk Project, KEDLI submitted the initial filing on February 8, 2022. On March 3, 2022, KEDLI held two virtual stakeholder meetings using Verizon's MyMeetings platform for the purpose of soliciting public input on its filing. On March 25, 2022, PA Consulting filed its assessment of KEDLI's report. As discussed above, Stakeholders participated in the public meetings and filed comments regarding KEDLI's initial filing and the PA Report.

The PA Report noted strong opposition to recovery of the costs of the SE Suffolk Project from several parties and identified key concerns regarding public engagement. Specifically, commenters expressed concerns regarding the adequacy and timing of the KEDLI's outreach efforts to the local community and the lack of opportunity for public input into the Project. Lastly, commenters stated that members of the public experienced difficulties with the platform used to host the virtual meetings.

Beginning in 2019, when KEDLI was designing the SE Suffolk Project, the Company engaged Suffolk County and State agencies, elected officials, and affected business along the SE Suffolk Project route. Outreach to residents and businesses to the north and south of the SE Suffolk Project began in the Fall of 2020 as the Company was staging for construction, with a

focus on notifying the public of upcoming construction activities. Commenters critical of the SE Suffolk Project express concern with what they perceive as insufficient pre-construction outreach to those approximately 2,000 to 3,100 feet north of the starting point of the project, including residents of a mobile home community, those with children attending an elementary school, and those using a local park.

The process regarding the Capacity Projects, including the opportunity to comment on the specific process and to participate in the public meeting was established in the Rate Order, in August 2021, when the SE Suffolk Project was almost complete. Moreover, the process set forth in the Rate Order provides for public engagement after the Company makes an initial filing for a Capacity Project. With regard to the SE Suffolk Project, this occurred after KEDLI completed construction. As we move to addressing Capacity Projects that are in the design phase, we take the opportunity to set clear expectations for the Companies to conduct engagement efforts for future Capacity Projects, both in timing and messaging.

For the remaining Capacity Projects, the Companies should conduct a pro-active public engagement program before constructing the projects. Each public engagement program should focus on clearly explaining topics that caused customer confusion for the SE Suffolk Project, such as the rationale for the Project to address reliability issues, the project selection process, and potential bill impacts. To ensure transparency and public involvement, the Companies should provide opportunities for public discussion of the Companies' preferred project, as well as alternatives.

The Companies should also determine the proximity of disadvantaged communities to a project location and whether a disadvantaged community may be impacted by a project. If the

Companies determine a project may or will impact a disadvantaged community, the Companies should develop targeted outreach activities accordingly. The Companies should explain the impacts on disadvantaged communities and the actions the Companies took with regard to such communities in their initial filings for subsequent Capacity Projects.

Lastly, the Companies noted in their response to the PA Report that they are reviewing alternative platforms for their virtual meetings. We agree that it is prudent to consider using more user-friendly platforms to effectuate their virtual meetings, such as WebEx or Zoom, to ensure as many people as possible may participate effectively and provide their input on subsequent Capacity Projects.

2. Commission Action on Future Capacity Projects

The Rate Order provided that the Commission would make a determination regarding cost recovery for Capacity Projects within 60 days of the filing of the independent consultant's report.[44] With regard to the SE Suffolk Project, 60 days from the independent consultant's report was approximately May 25, 2022. Having placed this novel review process into practice with the review of the SE Suffolk Project, it is apparent that more than 60 days may be required to complete the review of future Capacity Projects.

The Commission orders:

1. KeySpan Gas East Corporation d/b/a National Grid is authorized to recover the carrying costs of the SE Suffolk Project, Phase 1, through the Demand Capacity Surcharge

[44] Rate Order, pp. 122, 225.

Mechanism, consistent with the discussion in the body of this Order.

2. The requirement of Section IV.3.22.4 of the Joint Proposal adopted by the Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements, issued in these proceedings on August 12, 2021, that KeySpan Gas East Corporation d/b/a National Grid file its Demand Capacity Surcharge Mechanism statement to become effective on July 1st of each year is waived to allow KeySpan Gas East Corporation d/b/a National Grid to file its Demand Capacity Surcharge Mechanism statement to become effective on August 1, 2022, consistent with the discussion in the body of this Order.

3. KeySpan Gas East Corporation d/b/a National Grid shall file its updated Demand Capacity Surcharge Mechanism Statement to be effective August 1, 2022, on not less than five days' notice, together with the associated workpapers used to calculate the carrying costs and surcharge rate.

4. In the Secretary's sole discretion, the deadlines set forth in this Order may be extended. Any request for an extension must be in writing, must include a justification for the extension, and must be filed at least three days prior to the affected deadline.

5. These proceedings are continued.

By the Commission,

(SIGNED) MICHELLE L. PHILLIPS
Secretary